HH 315-26
Case No HCHC 595-25

AL SHAMS GLOBAL LTD
versus
RESERVE BANK OF ZIMBABWE
and
FIDELITY GOLD REFINERY [PVT] LTD
and
GETBUCKS MICROFINANCE BANK LTD

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION

MAFUSIRE J
HARARE, 10 & 23 October 2025; 4 November 2025 and 18 December 2025

Date of judgment: 22 April 2026

Urgent court application

Mr L. Uriri and *Mr L. Madhuku*, for the applicant
Mr A. Moyo and *Mr N.B. Nyathi*, for the first respondent
Mr *T. Zhuwarara, Mr W. Magaya* and *Mr W. Diara*, for the second respondent
No appearance for the third respondent

MAFUSIRE J

a Precis

[1] The parties know it: this was a matter not for the courts. It *ought* to have been settled out of court. That it did not, is manifestly an issue of personality clashes and the preservation of self-images. The parties, especially the main protagonists, have been in a relationship spanning decades. It is not an ordinary relationship. It is not an ordinary contract. The first respondent is the central bank for this country. Its Governor leaves no stone unturned to ensure the economy of this country stays afloat. Whenever there is a financial bind, and that has been the life of this country in the last few decades, the Governor designs the means and ways to get out of it. From the evidence, one such gateway is the applicant. It is a *peregrinus*, evidently endowed with vast loads of resources, or the ability to generate them. The first respondent has from time to time, borrowed from the applicant, which has from time to time lent to it, millions of dollars in hard currency. At other times, special

deals have been stitched together by the two, ostensibly to oil the economy of this country or to ameliorate the effects of the international economy sanctions. Whenever there was a dispute, the principals would sit down together and talk. Invariably they would fix it. But this time around, something went wrong. Now they are in court. Quite a number of issues are tumbling out of the closet. Through numerous case management conferences, I coaxed the parties to talk and settle. I never thought I would have to render a decision. I was wrong. What is rather concerning is that the pleadings and the submissions of the parties stay in the classical legal lane. Yet this dispute is far from being a classical one. I shall explain.

b Introduction

[2] This case started off as an urgent court application. Gradually it dissipated into an ordinary opposed motion matter. The dispute is predicated on multiple causes. The relief sought is a mixture of a declaratory order and a mandatory interdict. I shall spare detailed criticism for the inelegant drafting and the lack of focus in the pleadings, save to say the necessary.

[3] In the draft order, the applicant presses the court to state that certain conduct of the first respondent breached the principle of legality and that it was arbitrary and therefore unlawful. The draft order also wants set aside the decision of the first respondent requiring the applicant to provide "***the source of funds***" in respect of the amounts deposited into the second respondent's account held with the third respondent on 31 May 2025 and 18 June 2025. Finally, apart from the prayer for costs of suit on an attorney and client scale against the first respondent, the applicant further seeks the setting aside of "*the suspension of the Fidelity Gold Refinery [Pvt] Ltd held by Getbucks Microfinance Bank Limited under 001206000000457*" [*sic*].

[4] Obvious typing errors aside, it is always curious why some litigants or some legal practitioners sometimes go around in circles when asking for some relief in court, instead

of just going straight to the exact remedy sought. In my diction, a legal suit in a court of law is generally about the restoration of perceived rights allegedly frittered away by the alleged wrongdoer, through the return to the status *quo ante*, or the payment of compensation, or both. But quite often, the courts are inundated with prayers for endless declaratory orders, a great number of which are declarations, not of rights, but merely of facts. The real remedy sought, which is what the application will actually be seeking, is often tucked away as incidental or consequential relief.

[5] In this particular matter for example, and as shall soon emerge, the applicant is aggrieved by the decision of the first respondent to put a freeze on the second respondent's account with the third respondent for the ostensibly reason that an amount in the sum of US$7 million which was part of the deposits which the applicant had made into that account on the dates aforesaid, was suspicious, or of suspicious origin. Despite whatever banking law says about money deposited into a bank account, the applicant claims ownership of the amounts of the deposits. According to the application, that decision to freeze that amount has not only crippled the applicant's operations, but also it has induced the second respondent to breach its contract of gold supply and purchase with the applicant. The details are coming.

[6] The applicant accused the first respondent of acting in an arbitrary and irrational manner and without any legal basis. The first respondent denied all that, and alleged that it is a regulatory authority reposed with a wide range of powers, not least the power to govern the economy of this country; the power to control the flow of funds; the power to investigate suspicious transactions, and the power to require information whenever it needs it. In this regard, the respondent alleged that it draws its power from numerous statutes, including the Reserve Bank of Zimbabwe Act [*Chapter 22:15*] ["the RBZ Act"], the Exchange Control Regulations, 1996 [*SI 109/1996*] and the Money Laundering and Proceeds of Crime Act [*Chapter 9:24*] ["the Money Laundering Act"], among other regulatory instruments.

[7] Ostensibly, what has hurt the applicant was the freezing of the account and the concomitant inability of the second respondent to perform its side of the contract in supplying gold to the applicant, with the ultimate result that the applicant's operations have allegedly been crippled. One would imagine that the draft order would go straight to the essential remedy required, that is, the uplifting of the embargo. However, that essential remedy is submerged by layers of declaratory orders but of dubious efficacy.

[8] The real dispute is between the applicant and the first respondent. But of course, more flesh is required to make the narrative clearer.

c The parties

[9] The applicant is a foreign company registered in the British Virgin Islands. The second respondent is the central bank for Zimbabwe. It is created in terms of the RBZ Act. The second respondent is a private company registered in Zimbabwe. Despite my specific enquiry about its shareholding, the explanation left me none the wiser. The applicant says it seeks no relief against the second respondent but that it has cited it only for convenience. However, the second respondent has made common cause with the first respondent and opposed the application to the hilt. The third respondent is a financial institution, or in short, a bank. It has not participated in these proceedings. Among other things, and by virtue of its status, it is an authorised foreign exchange dealer. It is one of those entities regulated by the first respondent.

d The facts

[10] The essential facts of this matter are either common cause or uncontroverted. As I have understood them, and in paraphrase, they are these. At all relevant times, the applicant and the second respondent, under the supervision of the first respondent, were in a

contractual relationship for gold supply and purchase. In terms of it, the second respondent would ensure the supply to the applicant of a minimum of 100 kilogrammes of gold per week. Through its principal, the deponent to the founding affidavit, the applicant would fly the gold out of the country for sale abroad, principally Dubai in the United Arab Emirates. The deponent would bring back cash in hard currency, declare it at the port of entry, among other things, completing the prescribed Zimbabwe Revenue Authority ["ZimRA"] forms and deposit the money into the second respondent's account with the third respondent. The applicant makes the point that Zimbabwe is about the only gold-exporting country where a central bank permits gold buyers and sellers to carry cash into the country.

[11] Furthermore, from the evidence, the applicant had been, for years, in a direct contractual relationship with the first respondent itself. In terms of it, the applicant has provided funding to the first respondent as and when required for urgent national needs. When the dispute in this matter erupted, the first respondent was consistently paying back to the applicant a whopping US$250 000 every week in settlement of a debt in excess of US$53 million. That contractual arrangement had endured for more than two decades since 2002.

[12] The contract of gold supply and purchase between the applicant and the second respondent began in May 2024. There were no glitches until July 2025. On 31 May 2025 and 18 June 2025, the applicant's deponent brought into the country US$6 million and US$6.1 million respectively, amounting to US$12.1 in total. At the port of entry, the Robert Gabriel Mugabe International Airport, he completed the ZimRA's Form 47. From there he went on to deposit US$7 million in cash into the second respondent's account with the third respondent and complied with all the other exchange control guidelines as prescribed by the first respondent.

[13] In July 2025 the first respondent, after querying with the third respondent an amount of US$7 million from the above transactions, suspended the second respondent's account without notice to the applicant. As a result, all the funds in that account, including the deposits of US$6 million and US$6.1 million aforesaid, were effectively blocked. When

it got to know about it, the applicant complained that its business operations in Zimbabwe became crippled because the second respondent was immediately disabled from fulfilling its contract of gold supply and purchase.

[14] There were several pre and post litigation meetings involving some functionaries from all sides but there was no progress. All the out of court efforts to have the first respondent lift the embargo failed. The first respondent's consistent demand was the requirement for an explanation on the "***source of funds***" for the US$7 million yet the applicant had imported US$12.1 million.

[15] The applicant considered the first respondent's demand not only lacking the legal basis for it, but also rather strange given the special long-standing relationship between the parties which was characterized by, among other things, the applicant faithfully availing millions of dollars to the first respondent since 2002 for urgent national needs and the first respondent itself paying back vast sums of money.

[16] In terms of the deed of settlement dated 31 December 2022, the first respondent owed the applicant an amount in the sum of US$53 826 511-30. Of this amount, the first respondent had paid US$ 37 million by 31 May 2025, leaving a balance of US$16.8 million outstanding. The first respondent was paying it off in weekly instalments of US$250 000.

[17] Nonetheless, and in spite of the applicant's attitude towards the first respondent's demand, its deponent evinced an intention to meet in person the relevant functionaries from the first respondent. The idea was to protect confidentialities in line with existing contractual undertakings. A last-ditch effort was made on 2 October 2025 when the first respondent's representatives met with the applicant's legal practitioner. However, the impasse remained. The applicant turned to the law and filed this application on 8 October 2025.

[18] Alleging a breach of s 3[1] of the Administrative Justice Act [*Chapter 10:28*] ["AJA"], the applicant sought the setting aside of the respondent's decision requiring it, or the third

respondent, "*.... .... to provide the '***source of funds***' for money that the Applicant imported in year 2025 ...*" The relief sought was said to be predicated on grounds of illegality, procedural impropriety and irrationality or arbitrary conduct.

[19] Elaborating on the above causes of action, the applicant alleged that the first respondent's actions were not grounded in law as the Exchange Control Regulations granted it no extra-territorial jurisdiction to deal with issues beyond the borders of Zimbabwe. On procedural impropriety, the applicant alleged that the respondent made its decision without affording the applicant the opportunity to be heard and without any reasons accompanying it, in contravention of s 3 of the Administrative Justice Act, as read with s 68[1] and [2] of the Constitution of Zimbabwe. On irrationality, the applicant alleged that given the long-standing relationship between the parties, not least the large volumes of money transacted between them, and the fact that the first respondent has itself been the primary beneficiary of the applicant's funds, its decision was so outrageous in its defiance of logic that no other reasonable administrative authority would make it in similar circumstances.

[20] The applicant further alleged arbitrariness on the part of the first respondent in making the decision and taking the action aforesaid in that, among other things, the first respondent at times reneged from its undertaking to meet the applicant for a discussion on the issue; the first respondent already knew and had actually stated in one of its emails that the source of funds was Dubai; that the US$7 million which it questioned was in fact, much less than not only the amount that it had paid to the applicant, but also the amount it still owed to it.

[21] Both the first and second respondents opposed the application. Initially, they took a number of points *in limine* but eventually abandoned all but one of them. The points *in limine* initially taken by the respondents were:

i/ that the applicant had adopted a wrong form and had referred to a wrong rule of the Commercial Court, none of which provided for an urgent court application;

ii/ that the founding affidavit was incurably defective for want of authority of the deponent by reason that he relied on a blanket and generic resolution, contrary to the requirement that corporate resolutions must be specific and unequivocal;

iii/ that the applicant lacked the necessary *locus standi in judicio* in that the account and funds sought to be unblocked were that of the second respondent and that, as such, the applicant was a legal stranger to the banker-customer relationship existing between the second and third respondents, and

iv/ that the matter was not urgent as the purported urgency was self-created in that the account and funds in question were frozen in July 2025, yet it was not until 8 October 2025 that action was taken, even despite the fact that as early as September 2025 the applicant had threatened legal action.

[22] On the merits, the respondents insisted that the first respondent acted lawfully and within the parameters set by the law, particularly the RBZ Act and the Money Laundering Act. They averred that the first respondent is reposed with a wide range of powers to foster stability and the proper functioning of the country's financial system by, among other things, deterring money laundering or terrorist activities by high risk individuals or customers.

[23] The respondents argued that the Money Laundering Act had to be read together with the first respondent's Guidelines on foreign exchange transaction in May 2025 which, among other things, single out an unwillingness by high risk individuals to disclose "***the source of funds***" in large cash transactions as a common indicator for suspicious transactions.

e Issues for determination

[24] There were several case management meetings and several out of court discussions between the parties. By and by, the respondents abandoned their points *in limine* except the one relating to *locus standi*. Except for one extra point raised and persisted with by the applicant, issues for determination were, in the main, finally settled as follows:

i/ whether the applicant has *locus standi* to seek the relief claimed, and if yes:

ii/ whether the firs respondent's decision was illegal, procedurally improper, and/or irrational, in contravention of s 3 of AJA, and

iii/ costs.

f The extra point for determination: the validity of the first respondent's notice of opposition

[25] The extra point raised by the applicant in its answering affidavit and persisted with afterwards was about the status of the first respondent's notice of opposition. The applicant pressed for it to be struck off and expunged from the record on the basis that the opposing affidavit by the first respondent's Governor was invalid, having been irregularly commissioned.

[26] Contrary to the assertion on the signing page of the first respondent's affidavit, to the effect that it was sworn to at Harare on 10 October 2025 before a commissioner of oaths by the name Gloria Matambo, the applicant highlighted that on that day the Governor was not in Zimbabwe but in Washington in the United States of America and that the affidavit was just a simulation.

[27] I could not quite understand the position of the first respondent and its legal practitioners on the issue. At first, they simply brushed it aside, not even by any further affidavit in reply, but in counsel's heads of argument, and on the basis that the challenge was grounded on hearsay and therefore misplaced. But I sought clarity from all the parties. In a lengthy explanation penned by counsel, it was effectively admitted that the Governor was in fact, outside on the country on the crucial day but that he had signed the document electronically after taking the oath online. There is no affidavit by either the Governor himself or the commissioner of oaths to explain the situation.

[28] In that lengthy explanation by counsel, several arguments were sneaked in as to why the court should accept the Governor's affidavit, allegedly given the importance of the matter. The blame for this somewhat irregular conduct was placed squarely on the doorstep of the applicant. It was alleged that in the middle of negotiations between the parties, during which the Governor informed of his forthcoming trip abroad for scheduled meetings, and after the applicant had circulated to the respondents its draft urgent court application in advance of filing, the applicant suddenly served the issued process when the Governor had already travelled.

[29] A further argument in the document aforesaid is that, at any rate, the strict requirement for deponents to be physically present before commissioners of oaths when signing their affidavits is a creation of the courts and not a statutory command! Urging the court to move with the times and accept the Governor's affidavit as being substantially compliant, especially given the urgency of the matter, reference was made to a South African judgment by an acting judge of a provincial division of the High Court[1] in *ED Food S.R.L. v Africa Best [Pty] Ltd* [2024] ZAGPJHC 311, particularly the following passage:[2]

> "I agree that the Courts must open themselves to the modern trend of technology. This does not mean that the Court can willy nilly accept non-compliance with acts and regulations, but must be aware of the requirement that there must be substantial compliance with such acts and regulations. As stated, in this case I am satisfied that there has been substantial compliance."

[30] The first respondent rounds off its argument in that document by reminding of the values and core attributes underpinning the operations of the Commercial Division, not least the reduction and simplification of process, the digitization of records and adaptability.

[31] The issue of the invalidity or irregularity of the first respondent's notice of opposition remained live. I have to determine it.

[1] South Gauteng High Court, Johannesburg.
[2] At para 32.

[32] The commissioning of oaths and other related matters is governed by the Justices of the Peace and Commissioners of Oaths Act [*Chapter 7:09*] ["the Justices of the Peace Act"]. The relevant portion is s 8. It reads:

> "**8 Power to administer oaths**
> A justice of the peace or commissioner of oaths may within the area for which he has been appointed administer an oath to any person:
> Provided … …" [*emphasis added*]

[33] By virtue of their office, registered legal practitioners are commissioners of oaths in Zimbabwe. From the date-stamp on the signing page of the Governor's affidavit, the said Gloria Matambo was a legal practitioner and a commissioner of oaths. By virtue of s 8 of the Justices of the Peace Act, her area of jurisdiction as a commissioner of oaths was Zimbabwe. The Governor was in Washington in the United States of America when he purported to sign the affidavit.

[34] The first respondent's argument is untenable. It cannot even begin to compare its situation with that in the *ED Foods SRL* case above. In that case, the deponents to the impugned affidavits were in Italy when they signed their affidavits. The commissioner of oaths who administered the oaths by video conferencing was in South Africa. The commissioner of oaths submitted an affidavit to the court, detailing the formalities undertaken in the commissioning of those affidavits. The commissioner of oaths had sent the draft affidavits via the deponents' e-mails. A virtual meeting between the deponents and the commissioner of oaths was arranged. In the meeting, the deponents confirmed their identities, and the commissioner of oaths administered the relevant oaths. Everyone then appended their signatures. The court found that there had been substantial compliance with the regulations. It exercised its discretion in favour of upholding the impugned documents.

[35] *In casu*, the first respondent's counsel's tortuous argument above in an effort to save the opposing affidavit hangs on nothing. The document containing the argument defies description. It is neither a sworn statement nor heads of argument, but purports to be both. Of course, I know how it came about. In one of the several case management sessions during which I raised several issues for clarity by both parties, I never reckoned I

would be opening a Pandora's box. It should have been obvious that the issue of how the opposing affidavit was executed was of grave importance requiring, at the very least, information on oath as to how it had all happened, given the applicant's sustained challenge.

[36] Furthermore, until the applicant raised the issue, the opposing affidavit was passing off as having been deposed to and signed at Harare before a commissioner of oaths, with both the deponent and the commissioner of oaths being in the presence of each other. This was highly misleading.

[37] In *Ariston Management Services v Econet Wireless Zimbabwe* SC123-23, our own Supreme Court stated as follows:[3]

> "In the *Mandishava* case[4] the court remarked that the deponent of an affidavit must take the oath in the presence of the Commissioner. Equally, the Commissioner must append his or her signature on the statement in the presence of the deponent. The court went on to say that the Commissioner must also endorse the date on which the oath was administered and that those acts must occur contemporaneously.
>
> The reason behind that requirement is for the court to be satisfied that the oath was administered at a given date in the presence of both the deponent and the commissioner in accordance with the law."

[38] For the moment, the above pronouncement by our Supreme Court is the law in Zimbabwe. The Commercial Court Rules and their values do not help the first respondent. Evidence has to be properly laid before the court before it can be considered and evaluated. The first respondent's affidavit is irregular. There is no material for the court to exercise any discretion to sanitize it.

[39] Arguments from the Bar, spirited as they may be, cannot be a substitute for sworn evidence. The first respondent could have easily applied to adduce further evidence rather than sneak in such material evidence through the back door.

[3] At p 2 of the cyclostyled *ex tempore* judgment.
[4] *Mandishava v Sithole* HH798-15.

[40] An opposing affidavit and the notice of opposition come as one package. There being no proper opposing affidavit, there is no opposition by the first respondent. At any rate, given the requirements of the Money Laundering Act in particular, as shall be shown later, it is doubtful that the information deposed to in the opposing was within the Governor's personal knowledge.

[41] The offending documents, namely the first respondent's notice of opposition and opposing affidavit, have to be struck off and expunged from the record. However, despite this striking off, this matter must still be determined on the merits because the second respondent has, in its own individual right, opposed the application, both *in limine* and on the merits. Even though it has essentially made common cause with the first respondent, its opposing affidavit and heads of argument raise substantially the same issues as those that the first respondent had raised. The issues for determination as set out above, are now considered in turn, any further reference to 'the respondent' being to the second respondent.

[42] In closing this part of the case, it is fair to mention that, in purporting to clarify the issues raised at the same case management session aforesaid, the applicant's counsel equally sneaked in long-winded arguments on points *in limine* and the merits. But beyond the clarification needed, the rest of the information in that document will equally be ignored.

g On the merits

i/ *Whether or not the applicant has* locus standi

[43] In my phraseology, *locus standi* is the legal capacity, ability or power by a person that gives them the right of standing in a law suit. There is a glut of case authorities locally and abroad on the meaning of, and requirements for *locus standi*. In *Four Wheel Drive Accessory Distributors CC v Rattan NO* [2018] ZASCA 124, at para 7, SCHIPPERS JA put it as follows:

> "Generally, the requirements for *locus standi* are these. The plaintiff must have an adequate interest in the subject matter of the litigation, usually described as a direct interest in the relief sought; the interest must not be too remote; the interest must be actual, not abstract or academic; and it must be a current interest and not a hypothetical one."

[44] Thus, to have standing in a suit before a court of law, a party must have a direct and substantial interest in the matter: see *Zimbabwe Stock Exchange v ZimRA* SC56-07. Such interest must be legal, not merely financial. It must not be too remote. It must be actual. It must not be abstract. It must not be academic. It must be current. It must not be hypothetical: see also *United Watch & Diamond Co [Pty] & Anor* 1972 [4] SA 409 [C].

[45] *In casu*, the respondent is relying on the classical position of banking law that says money deposited into a bank becomes the property of the bank, the customer merely retaining the right to be paid an equivalent amount on demand. From this premise, the respondent logically imputes that once the applicant made those two deposits in May and June 2025 into its account with the third respondent, the money became the property of the third respondent, with itself merely retaining the right to an equivalent amount on demand.

[46] With all due respect, the respondent's argument is a huge gloss. This was no ordinary banker-customer relationship. By their peculiar or special type of relationship, the two tranches of deposits aforesaid remained the applicant's money. As explained before, it was deposit for gold supply in a revolving trade between the applicant and the respondent under the authority of the first respondent. When the amount was blocked, it is the applicant that felt the pinch, not the second or third respondent. It was the applicant whose business suffered. There can be no greater standing for legal action than this.

[47] Furthermore, and at any rate, the first respondent's persistent demand for an explanation on "***the source of funds***" was, on the ground, manifestly aimed at the applicant. For example, on 11 September 205, one of the first respondent's authorized officials sent an email to the third respondent, among other things, stating that the applicant's account was with the third respondent which administered it and that as such, the first respondent's

Financial Surveillance Unit had to deal with both the third respondent "***… and the client***."

[48] Demonstrably, "the client" in the above e-mail, was the applicant. In an earlier email to the third respondent on 9 September 2025, the first respondent, after explaining the role of its Financial Surveillance Division [FSD] in trade and investments transactions, wrote as follows:

> "For this reason, we are requesting from Al Shams Global regarding the source of the cash being imported to fund its buying activities. This should help close this matter." [*emphasis added*]

[49] Furthermore, the first respondent's letter to the third respondent on 25 July 2025 states in part:

> "While we work on validating the transaction conducted to fully account for the flow of funds and acquittal of exports funded through the account, your bank is hereby directed to stop all activity on the account until the finalisation of the ongoing exercise." [*emphasis added*]

[50] Given that it was the applicant with the peculiar knowledge of the flow of funds into the second respondent's account when it made the deposit aforesaid, and the fact that the deposit was the reason for the blockage of the account, it is difficult to appreciate how any such investigations by the first respondent could possibly exclude the applicant. The e-mails are self-explanatory. Al Shams Global is the applicant in these proceedings. I hold that it does have *locus standi in judicio*.

ii/ *Whether the first respondent's decision was illegal, procedurally improper and or irrational in contravention of sec 3 of AJA*

[51] The applicant's case is that the first respondent's decision to unilaterally freeze the second respondent's account with the third respondent breached a number of rights reposed in members of the public by AJA, more particularly in that no justification or reasons for such decision was provided before it was taken; that the decision had no foundation in law and that given the contractual relationship between all the parties and the lengthy period of its existence, the decision was arbitrary or irrational.

[52] In part, s 3 of AJA requires an administrative authority, such as the first respondent, to:

> "(a) act lawfully, reasonably and in a fair manner; and
>
> (b) …. …
>
> (c) where it has taken … action, supply written reasons therefor within the relevant period specified by law or, if there is no such specified period, within a reasonable period after being requested to supply reasons by the person concerned.
>
> (2) In order for an administrative action to be taken in a fair manner as required by paragraph (a) of subsection (1), an administrative authority shall give a person referred to in subsection (1)—
>
> (a) adequate notice of the nature and purpose of the proposed action; and
>
> (b) a reasonable opportunity to make adequate representations; and
>
> (c) adequate notice of any right of review or appeal where applicable."

[53] The trail of correspondence shows that the first respondent's decision was announced to the third respondent by that letter of 25 July 2025 aforesaid. The material portion reads:

> "**SUSPENSION OF FIDELITY GOLD REFINERY ACCOUNT NUMBER – 001206000000457**
>
> We refer to the above matter and make reference to the engagements with your bank regarding Fidelity Gold Refinery's account 001206000000457 performance.
>
> While we work on validating the transaction conducted to fully account for the flow of funds and acquittal of exports funded through the account, your bank is hereby directed to stop all activity on the account until the finalisation of the ongoing exercise.
>
> Your bank is required to fully cooperate through provision of the required information to ensure timely resolution of the matter." [*emphasis added*]

[54] There was no communication by the first respondent to the applicant regarding the blocking of the account in question, even despite the first respondent indicating in one of its correspondence that its contentious requirement for an explanation on "***the source of funds***", was aimed at both the third respondent and the applicant. Reference is made to its emails on 9 and 11 September 205 aforesaid.

[55] I find that before, or even soon after its impugned decision, the first respondent did not comply with s 3 of AJA, particularly ss [2] thereof, in regards to providing adequate reasons for its decision to block the account in question. Furthermore, it did not give the applicant an adequate opportunity to make representations. Therefore, its decision is liable to be set aside on this ground.

[56] Regarding legality or procedural impropriety, it is pointed out that the first respondent is a creature of statute. Its powers and functions are conferred essentially by the RBZ Act and other enactments, including, for the purposes of this case, the Money Laundering Act. Therefore, for one to see what a creature of statue can, or cannot do, in this case the first respondent, one goes to the enabling enactments. It was stated as follows in *Chartered Systems Integration [Pvt] Ltd v ZRA* 2019 [1] ZLR 256 [H], AT P 263D:

> "A creature of statute can only validly do what the enabling statutory framework gives it the capacity to do. It is unlike a natural person who can exercise discretion, waive rights, be creative or use initiative. The defendant is a fictional person which exists only in the eyes of the law. Persons acting for an entity created by statute are limited in the exercise of powers and discretion by the enabling law. In other words, the law prescribes the parameters within which they can act."

[57] The first respondent's guidelines on foreign exchange transactions, with the long title and sub-title: **GUIDELINES TO AUTHORISED DEALERS AND THEIR CLIENTS ON FOREIGN EXCHANGE TRANSACTIONS: Issued in Terms of Section 35(1) of the Exchange Control Regulations: Statutory Instrument 109 of 1996** ["the Guidelines"], among other things, stated in the preamble that they were being issued to draw attention in convenient form to the law as contained in the Exchange Control Act [*Chapter 22:05*] and the Foreign Exchange Regulations; that they formed a consolidation of previous

Foreign Exchange Directives and Circulars issued before April 2025 and that they were meant to provide a convenient and easy to reach set of policy and administrative provisions to aid authorised dealers to facilitate foreign exchange transactions and ensure compliance with the regulations.

[58] Section 5.1.5 of the Guidelines provided that individuals were permitted to import foreign currency into the country through the normal ports of entry which they would have to declare on the ZimRA Form 47 available at those ports of entry. For individuals importing cash on behalf of corporates, the cash should be expeditiously deposited into the Foreign Currency Account [FCA]of the respective corporates, presenting the relevant ZimRA Form 47 to the bank at the time of the deposit, together with the relevant passport pages for the individual importer. It is common cause that the applicant's deponent complied with all these requirements upon its importation of the deposits in question.

[59] Section 2.1.3.1 of the Guidelines provided that individuals and corporates could deposit any amount into their deposit FCAs and that the authorised dealers could use their discretion on the source of such funds before sanctioning such a deposit, especially where large amounts were involved, with the authorised dealers applying their "Know Your Client" [KYC] and Customer Due Diligence [CDC] principles.

[60] It was argued that the first respondent was within its limit of authority when it demanded an explanation on "***the source of funds***". However, there are difficulties with this line of argument, one of which is that plainly, the provision in the Guidelines was aimed at the bank, in this case, the third respondent.

[61] But even assuming that by virtue of its overarching powers and its lofty position in financial matters in this country, the first respondent could require the third respondent to demand of the applicant, the source of funds in respect of those deposits, such a stance would stick out as unreasonable and irrational, not least because of firstly, the documented close contractual relationship and dealings between the parties. Secondly, the fact that the first respondent was itself paying millions of dollars to the applicant. Thirdly, the revolving trade in gold supply and purchase between the applicant and the second

respondent. Fourthly, the fact that in its email of 1 September 2025, the first respondent itself stated with certainty that the cash in question was from a financial institution in Dubai, meaning that it was already aware of "***the source of funds***" even though it went on to demand proof of withdrawal from there also. And so on and so forth.

[62] One of the respondent's strong arguments was that the long-standing relationship and past dealings between the parties did not absolve the applicant from complying with the law, particularly the dispensation brought about by the Money Laundering Act and the other kindred statutes. But apparently, there was no scrupulous observance by the respondents themselves, particularly the first respondent, of the provisions of the Money Laundering Act.

[63] Section 30 of the Money Laundering Act places an obligation on financial institutions to report suspicious transactions within three [3] days to the Financial Intelligence Unit ["FIU"], a statutory body housed within the first respondent and previously established by the Bank Use Promotion Act [*Chapter 24:24*]. By virtue of s 3 of the First Schedule to the Money Laundering Act, the first respondent is a "financial institution".

[64] In terms of s 6B of the Money Laundering Act, the FIU is reposed with the powers to, among other things, receive suspicious transaction and cash transaction reports from financial institutions for analysis and to disseminate the results of such analysis to, among others, law enforcement agencies or other competent authorities for purposes of combating money laundering, related predicate offences and terrorist financing. The FIU is also empowered to monitor and ensure compliance with the Act by, among others, financial institutions. In all its operations, and in terms of s 6A[2][f] of the Money Laundering Act, the FIU, which is headed by a Director-General, acts independently of both the first respondent and the Minister of Finance.

[65] In terms of s 11 of the Money Laundering Act, a person entering Zimbabwe with an amount in the sum of US$15 000 or more, and other specified items, is required to disclose them together their own details, to a ZimRA official who is required, without

delay, in any case by not later than seventy-two [72] hours, submit a copy of the disclosure and the particulars to the FIU.

[66] It is the FIU or ZimRA , not the first respondent, which, in terms of s 12 of the Money Laundering Act, is empowered to seize or detain and forfeit, among other things, suspicious currency, but any such seizure shall not exceed a period of seventy-two [72] hours, unless a magistrate or justice of the peace orders its continued detention, but not for a period exceeding three months from the date of the initial seizure.

[67] As mentioned already, in terms of s 30 of the Money Laundering Act, financial institutions, among others, with reasonable grounds to suspect that any property or any transaction is the proceeds of crime or is related or linked to terrorism or terrorist acts or by terrorist organisations, are required to promptly submit, in any event by not later than three [3] working days after forming the suspicion, a report to the FIU. Failure to comply is actually a criminal offence.

[68] The applicant argues that, as an importer of cash, it complied with all such of its obligations as are imposed by s 11 of the Money Laundering Act. Among other things, its deponent made a full disclosure to ZimRA officials of the cash on him by completing and submitting the mandatory Form 47, together with copies of the relevant pages from his passport. The cash was then promptly deposited into the second respondent's account with the third respondent in line with the overall agreement between all the parties.

[69] The applicant further points out that in contrast, the first respondent complied with none of the obligations imposed by the Money Laundering Act and, among other things, purported to usurp the functions of the FIU through its own FSD, an in-house entity created by the first respondent itself. The FIU is a creature of statute, albeit housed at the First Respondent. It is different from the FSD.

[70] On irrationality and arbitrariness, the applicant insisted in its affidavits that it has for over two decades operated transparently with the first and second respondents. As a *peregrinus* using its own free funds to fund the first respondent's cash requirements, it has complied scrupulously with the banking laws of this country. At all times, the first respondent

would conduct all the necessary due diligence on its operations and apply all the KYC principles, especially given that even as at the time of this application, the first respondent was still paying it huge amounts of cash every week.

[71] Furthermore, the applicant made the point that over the years it has actually operated and maintained a cash account directly with the first respondent itself. The first respondent has itself been an active participant in transactions involving the importations and handling of cash. It has paid the applicant handling fees in relation to the supply of cash for the country's needs. As such, the applicant questions the first respondent's genuineness in demanding an explanation on the applicant's source of funds. It ascribes the first respondent's actions to no more than a clash of personalities between the parties' principals and nothing related to genuine administrative oversight. The applicant contends further that the scrutiny leading to the embargo of the whole account of the second respondent with the third respondent was over US$7 million only when the total deposits in question amounted to US$12.1 million.

[72] The applicant's arguments are cogent. I find that not only did the first respondent breach the Money Laundering act in the respects ventilated, but also that its decision to block the account in question was arbitrary and irrational in the light of the situation prevailing on the ground.

h Disposition

[73] The conduct of the first respondent in freezing the second respondent's account containing the applicant's money was done without due process and in contravention of s 3 of AJA and the Money Laundering as analysed above. Furthermore, the relationship between the parties, which had endured for over two decades was such that, contrary to the respondent's argument that it is of no moment, was such that the conduct of the first respondent, employing dispassionate and independent callipers, cannot escape condemnation as being irrational and arbitrary.

[74] It is not the finding of this court that because of that relationship the applicant should be treated as an entity above the law or one excused from compliance with the laws of this country. On the contrary, the facts material to this dispute show that the applicant did comply, not only with the statutory regime governing, among other things, the importation of cash into the country, but also with the first respondent's own Guidelines in regards thereto. Instead, it was the first respondent that did not comply with its obligations under the law.

[75] In terms of s 4 of AJA, the court is vested with any array of powers to make appropriate orders where it has been approached by any person who is aggrieved by the failure of an administrative authority to comply with s 3 of the Act. One of such powers is the one to set aside the impugned decision. I have already made a finding that the first respondent failed to comply with s 3 of AJA.

[76] The applicant is entitled to the substantive relief sought. I have already levelled criticism on the irrelevancy of the declaratory orders prayed for in the draft order. They are unnecessary and tautological. In the exercise of my discretion, I shall leave them out of the final order.

[77] The respondent sought costs of suit on the higher scale of attorney and client against the applicant on the basis that it was unnecessarily joined to the proceedings. However, clearly there was no way the applicant could possibly mount a suit such as this without involving the respondent. All the parties are inexorably linked together. It is the respondent's account that the applicant sought to be unblocked but the amounts in it belonged to the applicant. The respondent was a necessary party to the proceedings. Logically, it should have stayed out of the battle and leave the applicant and the first respondent to slug it out between themselves. However, not only did it make common cause with the first respondent, but also it went the full distance in opposing the application in its own right. It has lost.

[78] Costs should follow the result. However, there is no basis for them to be awarded on an attorney and client scale as pressed by the applicant. Even the irregularity relating to the

signing of the opposing affidavit, was not such gross misconduct as would warrant an adverse order of costs beyond the party and party scale. On the merits, it cannot be suggested that the respondents did anything untoward in mounting opposition to the application as to attract a penal order of costs. On the other hand, the second respondent is fortunate that the applicant sought no order of costs against it.

[79] In the premises, the following orders are hereby made:

i/ The decision by the first respondent on 25 July 2025 suspending the second respondent's account number 001206000000 with the third respondent is hereby set aside.

ii/ The costs of this application shall be borne by the first respondent.



22 April 2026

Titan Law, legal practitioners for the applicant
Gambe Law Group, legal practitioners for the respondent
Coghlan Welsh & Guest, legal practitioners for the second respondent